

Contestant Number: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING

(105)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer (26 @ 3 points each) _____ (78 points)

Problem 1: Sales Transactions _____ (88 points)

Problem 2: Income Statement _____ (100 points)

TOTAL POINTS _____ ***(306 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.
- Unless otherwise stated, assume the accrual method of accounting and a perpetual inventory system are used.

Multiple Choice (2 points each)

1. The Sales Returns and Allowances account is classified as a(n) _____.
 - A. asset account
 - B. contra asset account
 - C. revenue account
 - D. contra revenue account
2. In a perpetual inventory system, freight charges on merchandise purchases shipped FOB shipping point should be debited to the _____.
 - A. Freight In account
 - B. creditor's account in the subsidiary ledger
 - C. Accounts Payable account
 - D. Inventory account
3. If a firm had sales of \$50,000 during a period and sales returns and allowances of \$4,000, its net sales were _____.
 - A. \$54,000
 - B. \$50,000
 - C. \$4,000
 - D. \$46,000
4. Credit terms of 1/10, n/30 mean that _____.
 - A. if the invoice is paid within 10 days of its date, a 1% discount may be taken; otherwise the total amount is due in 30 days
 - B. payment in full is due 30 days after date of the invoice
 - C. if the invoice is paid within 10 days of its date, a 1% discount may be taken; otherwise the total amount is due in 20 days
 - D. if the invoice is paid within 10 days of its date, a 1% discount may be taken, otherwise payment in full is due 10 days after date of the invoice
5. A firm that sells goods that it purchases for re-sale is a _____.
 - A. non-profit business
 - B. merchandising business
 - C. manufacturing business
 - D. service business
6. The Sales Returns and Allowances account is presented on the _____.
 - A. income statement as an addition to Sales
 - B. balance sheet as a deduction from Accounts Receivable
 - C. balance sheet as a deduction from Capital
 - D. income statement as a deduction from Sales

7. To find the balance due from an individual customer, the accountant would refer to the _____.
 - A. Sales account in the general ledger
 - B. Sales journal
 - C. Accounts Receivable subsidiary ledger
 - D. Accounts Receivable account in the general ledger
8. The Sales account is classified as a(n) _____.
 - A. liability account
 - B. contra account
 - C. revenue account
 - D. asset account
9. On a balance sheet, Accumulated Depreciation—Equipment is reported as a(n) _____.
 - A. deduction from the cost of the equipment
 - B. deduction from the total of the assets
 - C. liability
 - D. expense
10. To arrive at an accurate balance on a bank reconciliation statement, deposits in transit should be _____.
 - A. added to the book balance
 - B. deducted from the book balance
 - C. deducted from the bank statement balance
 - D. added to the bank statement balance
11. An employee, whose regular hourly rate, is \$10 and whose overtime rate is 1.5 times the regular rate worked 48 hours in one week. How much overtime will the employee earn this week?
 - A. \$80
 - B. \$240
 - C. \$120
 - D. \$480
12. Adjusting entries *never* involve which account?
 - A. Revenue
 - B. Accounts Receivable
 - C. Cash
 - D. Expenses

13. The amount debited to Wages Expense when a payroll is recorded is the _____.
A. total gross earnings
B. net earnings
C. earnings after taxes
D. regular gross earnings
14. A post-closing trial balance will show _____.
A. zero balances for all accounts
B. zero balances for balance sheet accounts
C. only balance sheet accounts
D. only income statement accounts
15. The primary difference between a periodic and perpetual inventory system is that a periodic system _____.
A. keeps a record showing the inventory on hand at all time
B. provides better control over inventories
C. records the cost of the sale on the date the sale is made
D. determines the inventory on hand only at the end of the accounting period
16. In a perpetual inventory system, how often is cost of goods sold recorded?
A. On a daily basis
B. On a monthly basis
C. On an annual basis
D. Each time a sale occurs
17. If goods in transit are shipped FOB destination, _____.
A. the seller has legal title to the goods until they are delivered
B. the buyer has legal title to the goods until they are delivered
C. the transportation company has legal title to the goods while the goods are in transit
D. no one has legal title to the goods until they are delivered
18. The lower of cost or market basis of valuing inventories is an example of _____.
A. comparability
B. cost principle
C. conservatism
D. consistency
19. Which of the following should *not* be included in the physical inventory of a company?
A. Goods held on consignment from another company
B. Goods in transit from another company shipped FOB shipping point
C. Goods shipped on consignment to another company
D. All of the above should be included

20. Two companies report the same cost of goods available for sale, but each employs a different inventory costing method. If the price of goods has increased during the period, then the company using ____.
- A. LIFO will have the highest ending inventory
 - B. FIFO will have the highest cost of goods sold
 - C. FIFO will have the highest ending inventory
 - D. LIFO will have the lowest cost of goods sold

Short Answer

1. Using the following information, provide the complete accounting equation.

Use this information to	Solve for the missing amount.
Equity \$200,000; Assets \$360,000	
Liabilities \$180,000; Assets \$320,000	
Equity \$725,000; Liabilities \$350,000	

2. Becky worked 55 hours this week and earns \$18 an hour. If Becky is in the 15% tax bracket, OASDI taxes are 6.2%, and Medicare taxes are 1.45%, what is Becky's gross pay and net pay for the week?

- A. Gross Pay _____
- B. Net Pay _____

3. Elza Golf carries an inventory of putters and other golf clubs. The sales price of each putter is \$99. Company records indicate the following for a particular line of Elza Golf's putters (using a perpetual inventory system):

Date	Item	Quantity	Unit Cost
Apr. 1	Balance	30	\$ 45
6	Sale	20	
8	Purchase	30	55
17	Sale	30	
30	Sale	2	

	Ending Inventory, Apr. 30	Cost of Goods Sold for April
LIFO		
FIFO		
Weighted Average		

4. Calculate the interest expense for the year 2020.

Principal	Interest Rate	Loan Period	Loan Origination Date	Interest Expense
\$12,000	8% APR	90 days	August 1, 2020	
\$25,000	3% quarterly	4 years	April 1, 2018	
\$9,750	12% APR	3 months	February 1, 2020	
\$83,000	3.5% semi-annually	20 years	July 15, 2015	
\$3,600	9% APR	12 months	November 1, 2020	

5. Cash Sales for the month of January totaled \$18,560 (before sales tax), and the local sales tax rate is 8.5%. Indicate which account(s) will be debited and credited, and by how much.

Debit Account	Debit Amount	Credit Account	Credit Amount

6. To remit the sales tax to the government, indicate which account(s) will be debited and credited, and by how much.

Debit Account	Debit Amount	Credit Account	Credit Amount

Problem 1 Sales Transactions (88 points)

For each of the transaction below, indicate the effect of the transaction (increase, decrease, or no effect) on Net Sales and Inventory, and indicate how much they were affected by \$ Amount. If Net Sales or Inventory was not affected by the transaction write “None” in the box.

O’Brien Co. distributes hardback books to retail store. Inventory is recorded using the FIFO method. During the month of January, the following merchandise transactions occurred.

Date	Transaction	Effect on Net Sales	Effect on Inventory
Jan. 1	Purchased 160 books on account for \$5 each (including freight) from Schumacher Publishers.		
3	Sold 120 books on account to J. Stalcup Bookstore for \$10 each.		
6	Received credit for 10 books returned to Schumacher Publishers.		
9	Paid Schumacher Publishers in full.		
15	Received payment in full from J. Stalcup Bookstore.		
17	Purchased 220 books on account for \$5 each from DiSimoni Publishers.		
20	Sold 140 books on account to Peterson’s Bookstore for \$10 each.		
24	Received payment in full from Peterson’s Bookstore.		
26	Paid DiSimoni Publishers in full.		
28	Sold 90 books on account to Hendrickson Bookstore for \$10 each.		
30	Granted Hendrickson Bookstore credit for 20 books returned.		

Problem 2 – Income Statement and Analysis (100 points)

Complete the Income Statement and perform a vertical analysis for each line item. Round percentages to one decimal place. The corporate tax rate is 32%. Digital Solutions has 50,000 shares of common stock outstanding, and the current market price of Digital Solutions is \$39.75.

Digital Solutions			
Income Statement			
For Year Ended, December 31, 2020			
			%
Sales		\$1,458,600	
Cost of Goods Sold			
Gross Profit			44.0%
Operating Expenses:			
Selling Expense	\$		
Rent Expense	70,000		
Salary Expense			4.0%
Depreciation Expense	71,825		
Bad Debt Expense	11,345		
Total Operating Expenses			17.0%
Income from Operations			
Gain on Sale of Equipment		5,600	
Interest Expense		16,000	
Income Before Taxes			
Income Tax Expense			
Net Income		\$	

- What is the Gross Profit Percentage? _____
- What is the Profit Margin? _____
- What is the EPS? _____
- What is the P/E Ratio? _____